Barclays - Current-Quarter Investigation Signal

2026 Q2 | Triangulated behavioural signal detection | Evidence-prioritisation, not misconduct prediction

ACTION SIGNAL 2 **Supervisory Enquiry** **Targeted clarification warranted; evidence does not justify formal investigation.**

Equity exchanges	Figure coverage	Deflection rate	Q&A alignment	Analyst concern z
31	**94.7%**	**22.6%**	**0.87**	**-1.84**
plus 5 fixed-income exchanges	historical z +1.23	historical z +1.18	historical z +0.83	lower concern than prior norm

Why this signal?

Current-quarter evidence warrants targeted clarification, not formal investigation. Equity deflection is 22.6% (historical z +1.18), while figure coverage is 94.7% (z +1.23), Q&A alignment is 0.87, adjusted follow-up is low (z -1.63), and analyst concern is unusually low (z -1.84). The strongest credible signal is therefore an explainable communication/clarification watch, concentrated mainly in business-model/returns and balance-sheet/rate topics, with substantial counter-evidence against escalation.

Supporting risk-domain assessment

Risk domain	Domain signal	Direction	Evidence	Key current-quarter indicators
Capital & Solvency	Stable / L1	Stable	2	mean alignment 0.91.
Liquidity & Funding	Stable / L1	Stable	1	deflection in 100% of exchanges; mean alignment 0.88.
Credit & Counterparty	Stable / L1	Stable	2	figure coverage 100% (1/1); mean alignment 0.89.
Market & Balance Sheet	Stable / L1	Stable	11	follow-up in 27%; figure coverage 100% (8/8); mean alignment 0.88.
Operational & Technology	Stable / L1	Stable	0	No directly classified current-quarter exchange signal in supplied attributes.
Business Model & Strategy	Watch / L2	Emerging	15	deflection in 27% of exchanges; figure coverage 73% (8/11); mean alignment 0.88.
Governance, Controls & Data	Stable / L1	Stable	0	No directly classified current-quarter exchange signal in supplied attributes.
Regulatory & External	Stable / L1	Stable	3	figure coverage 100% (1/1); mean alignment 0.88.

Interpretation guardrail: signal levels prioritise where a supervisor should read next. They do not establish evasiveness, misconduct, breach or financial weakness. The supplied framework explicitly separates observable proxies from latent conclusions.

Barclays - Detailed Exchange Evidence

2026 Q2 | All current-quarter exchanges, ordered by review priority. Text is truncated for initial analysis; transcript URL provides the underlying source.

f3f29bd0739c-x012 | Business Model & Strategy			Priority flags: 2 | deflection phrase, higher analyst concern		
Analyst	Sachin Nayar (Goldman Sachs)	Management	['Anna Cross'] | ['management']	Page	14
Topic	Business mix, RWAs and returns (broad)	Attributes	concern +0.174; tone gap +0.119; alignment 0.868; hedges/100w 0.00; figures 7; deflect True; follow-up False	Source	Open source transcript
Question	Morning Anna, Sachin Nayar from Goldman Sachs. First question, just on the BUK product margin. So I think there was around a £50 million headwind at Q1, primarily from the roll-off of five year [Covid] mortgages and then £61 million at Q2, so slightly higher than expected. You mentioned on the call a larger and more competitive ISA season and now you expect a neutral to positive impact for H2. So could you just elaborate on some of the assumptions there? I think you mentioned in spite of competitive deposit pricing, there is an impact from cards seasonality and day count, could you maybe quantify those or even talk about the moving parts going forward through to even 2027 if possible? And then secondly, just on the USCB business, I guess ...				
Answer	Let me start and I refer to some of this in my prepared remarks, but me go back to it. So we guided at Q1 that we would expect the margin impact to be broadly similar in Q2 and it goes from like £52 [million] to £61 [million], so it's marginally worse. That number of £61 [million] is somewhat exaggerated by the fact that we grew the structural hedge in absolute terms, the notional at the back end of Q1. So what that means is we are moving income out of the product margin and into the structural hedge bucket. So those two numbers are inflated and somewhat exaggerate the effects. Now that's a couple of times we've called that out. Clearly, we've had a more stable structural hedge notional in Q2, so you're not going to see that impact in Q3. Secondly, you called out mortgages. So just to remind everybody, we have this cohort of mortgages from 2021, written during the stamp duty holiday ...				

f3f29bd0739c-x004 | Market & Balance Sheet			Priority flags: 2 | low alignment, follow-up		
Analyst	Amit Goel (Mediobanca)	Management	['Anna Cross'] | ['management']	Page	7
Topic	Net interest income and margin guidance	Attributes	concern -0.122; tone gap +0.059; alignment 0.687; hedges/100w 0.93; figures 0; deflect False; follow-up True	Source	Open source transcript
Question	So if we just assume a similar level of profitability to what it has been doing, so we can then work out the non-NII [amount]?				
Answer	So I would expect that the Best Egg income as broadly as we took it on, subject to the point that I made, which is that the securitised margins are a little bit compressed by the fact that the reference rates in the industry are a bit elevated at the moment. And clearly we have some optionality to deal with that over time. So, we could retain more on our balance sheet if we chose to, or at a point in time we will be taking control of that securitisation process within our own Markets business. That will give us a bit more control over the economics also.				

59043c81adbf-x010 | Business Model & Strategy			Priority flags: 2 | deflection phrase, follow-up		
Analyst	Andrew Coombs (Citi)	Management	['Anna Cross', 'C.S. Venkatakrishnan', 'Anna Cross'] | ['management', 'management', 'management']	Page	16
Topic	Business mix, RWAs and returns (broad)	Attributes	concern -0.170; tone gap +0.072; alignment 0.908; hedges/100w 0.36; figures 2; deflect True; follow-up True	Source	Open source transcript
Question	Good morning. One follow-up on the structural cost actions, and then a fresh question on the Investment Bank please. On the structural cost actions you've talked about a commensurate improvement in 2027 efficiency. So, is it fair to assume that these investments are more focused on the cost side, as opposed to revenue growth ambitions. And linked to that in your prepared remarks, you talked about the SCA in the UK, you talked about a higher cost: income [ratio] in PBWM. So is it fair to assume that's where the bulk of these structural cost actions are being deployed, is it in the UK businesses? And then my separate question on the Investment Bank. Obviously a very strong quarter for Advisory, for ECM, for Equities. It's something we've seen from ...				
Answer	Okay, Andy, I'll take the first one and then Venkat will take the second. I mean, structural cost actions are focused on the cost base of the firm and improving the efficiency and the effectiveness and the cost: income ratio of the firm. I'd encourage you to think of structural cost actions as one of the investment options that we have. We're clearly investing in driving the revenue and we take the same approach here. We have the same degree of focus on the ROI here, but you're correct, in that it will be focused on driving the gross efficiencies, i.e. it's entirely cost related. But it is one of many actions that we take in respect of investment and we think of it no differently. I wouldn't think of it as particularly skewed to the UK. You should expect it to be more broadly focused across the organisation, given what it relates to, because it relates to platforms, it relates to ...				

59043c81adbf-x015 | Business Model & Strategy			Priority flags: 2 | figure requested/not supplied, follow-up		
Analyst	Alberto Artoni (Intesa Sanpaolo)	Management	['Anna Cross', 'C.S. Venkatakrishnan'] | ['management', 'management']	Page	22
Topic	Costs and investment spend	Attributes	concern -0.414; tone gap -0.315; alignment 0.809; hedges/100w 0.60; figures 0; deflect False; follow-up True	Source	Open source transcript
Question	A quick follow up, because the guidance for 2028 has not been changed, if I got it right. So, it means that you have more confidence. So, I mean, this type of [additional] investment that you plan to make, will increase your confidence in your ability to deliver the results. Is that the way to read this process?				
Answer	Yes, increased confidence. Look, thank you very much. We appreciate the time and the attention you've given. We look forward to meeting some of you on the road in the next few days. What I would say to sum up is when you look at these results [as] a whole, we're 10 [quarters] into the plan we announced in 2024, and two quarters into the plan we announced earlier this year. In every quarter, in every way, cumulatively and individually, we've been meeting our guidelines, sometimes a little more than others, but generally, it's been a part of progress in returns, a part of progress in distributions, a part of progress in efficiency in the bank and in our capabilities in the bank more broadly. We are a bigger part of the UK ecosystem than we were. We maintain our strength and are a bigger part of the global ecosystem, especially in Equities and Financing, as we've spoken. We are using ...				

f3f29bd0739c-x011 | Business Model & Strategy			Priority flags: 1 | higher analyst concern		
Analyst	Philip Richards (Bloomberg Intelligence)	Management	['Anna Cross'] | ['management']	Page	13
Topic	Business mix, RWAs and returns (broad)	Attributes	concern +0.337; tone gap +0.182; alignment 0.882; hedges/100w 0.39; figures 3; deflect False; follow-up False	Source	Open source transcript
Question	First of all, with the Investment Bank share of risk weighted assets at the Group level seems to be quite stubbornly stuck at the around 55% level. Is that making the 2028 target more difficult to get to, or is it just because the quarter is so strong in Investment Banking and you are taking advantage of that? What's going on there [to get to] at least to circa 50% [RWAs]? And then secondly, actually the equity trading. 45% growth would be seen in any normal period as a very, very strong performance. But when the US peers are doing about 70% growth, by definition therefore you have lost share versus them. So how has that been looked at internally? Is it seen as a blowout, very strong quarter or are you seeing it as losing share essentially?				
Answer	Okay, so on the RWAs, we lent in a little bit in the quarter in RWAs in the Investment Bank. It's up about 1% quarter on quarter, about 40% of the growth year on year was FX, so you can ignore that. I'll come back to this a bit more fully when I talk about Equities, but our objective here is to maintain the discipline around [RWAs], and if we do deploy a little bit more, then we're looking for revenue. So you can see revenue over RWAs has gone up to 7.7%, that's a hundred basis points up year on year. So this capital efficiency is really what we are driving. The second, so let put a different perspective to this, clearly we continue to grow the rest of the bank. Notably in that percentage is the deployment of the advanced model in US cards, which is going to meaningfully change that percentage. That was always in our plan, so that's the piece that you're sort of missing. On Equities, ...				

59043c81adbf-x005 | Credit & Counterparty			Priority flags: 1 | higher analyst concern		
Analyst	Benjamin Toms (RBC)	Management	['Anna Cross', 'C.S. Venkatakrishnan'] | ['management', 'management']	Page	9
Topic	Mortgages, lending and UK rates	Attributes	concern +0.146; tone gap +0.306; alignment 0.901; hedges/100w 0.52; figures 1; deflect False; follow-up False	Source	Open source transcript
Question	Good morning both. Thank you for taking my question. The first one's on PBWM. Net New AUM in PBWM in Q2 was relatively weak. What's impacting performance here? I think I was a little surprised, my feeling was you've been quite active in trying to make your proposition more attractive in this space. And then secondly on BUK, you spoke in previous quarters about your strong mortgage pipeline. Have high swap rates and the news flow around the changes to stamp duty, albeit potentially changed overnight, have they had much of an impact on your mortgage pipeline as we stand today? Thank you.				
Answer	Thanks, Ben. I mean, there's nothing I would particularly call out on PBWM. I can hand to Venkat for what we've been doing there, but in absolute terms, these are not very large numbers, and therefore, they can be a bit lumpy. Clearly, we have ambition for this business for it to be much bigger, so you can get some lumpiness quarter to quarter. As we look over the first half in totality, it looks completely fine and actually broadly similar to the previous year. Let me just deal with mortgages, and then I'll hand to Venkat on PBWM more generally. What we've seen is a strong quarter in Mortgages. As I mentioned before, we've seen somewhat of a recovery in application margins in Q2 after the compression that we experienced in Q1. Actually, the gross completions were very strong, we had a £10.0 billion quarter, that's the biggest quarter we've ever had, and June in particular was a very ...				

11f9b9d1faae-x004 | Business Model & Strategy			Priority flags: 1 | figure requested/not supplied		
Analyst	Pranjal Vaish (Credit Agricole)	Management	['Dan Fairclough', 'Anna Cross'] | ['management', 'management']	Page	5
Topic	Business mix, RWAs and returns (broad)	Attributes	concern +0.077; tone gap -0.062; alignment 0.882; hedges/100w 0.59; figures 0; deflect False; follow-up False	Source	Open source transcript
Question	I saw that your LCR declined from 170% to around 158% at the end of this quarter. compared to the end of last year. Can you please walk us through the key drivers behind this decline, perhaps if you're anticipating any material outflows in the near term? And also if you can share your target operating range for the LCR, if you share that? And the second question would be on the SRTs. I noticed that you had around £700 million benefit this quarter. If you can provide any forward guidance on your SRT pipeline, specifically how much RWA reduction or in terms of CET1 benefit you plan to achieve through SRTs in the coming months or in FY26?				
Answer	The LCR has declined over the past 12 months or so. This firstly relates to something that we called out probably 12 months ago now, which was a change of methodology within our prime financing business, which moved to a more conservative approach. We report the LCR on a 12-month rolling basis. So that has just taken time to come through the ratio. That was the mechanical effects that we disclosed 12 months ago. And obviously, it's been quite an active quarter in terms of Investment Bank activity and financing, in particular. So we've obviously leaned into that and use some of our funding to support those clients but I wouldn't call anything else out, particularly in terms of where the LCR ratio will go from here. On SRT, we've talked about the broad scope of our SRT activity in the past. The vast majority of our SRT is in the Colonnade program, which provides protection on our ...				

59043c81adbf-x003 | Market & Balance Sheet			Priority flags: 1 | deflection phrase		
Analyst	Jonathan Pierce (Jefferies)	Management	['Anna Cross'] | ['management']	Page	8
Topic	Net interest income and margin guidance	Attributes	concern +0.043; tone gap +0.185; alignment 0.875; hedges/100w 0.33; figures 9; deflect True; follow-up False	Source	Open source transcript
Question	Hello, good morning. I've got two questions please. The first is really just a clarification of some of the answers you've given in the last 30 minutes on both Net Interest Income and costs. On the NII, it sounded like, from what you were saying Anna, as though USCB forecasts for 2028 have maybe got to circa the right place, but UKCB is still a bit low. I know you don't want to be marking-to-market every quarter, but it would be helpful just to get a sense as to whether I've read between the lines correctly there. And then on the cost: income ratio, again totally understand you don't want to be bound to an absolute cost number next year, but consensus is at 55.5% on the cost: income ratio. That feels a meaningful step down from this year, towards ...				
Answer	So Jonathan, let me take your first clarification points. So, I'll just repeat what I said. I'm not going to mark-to-market. Clearly, the analyst community has listened, and we've seen a movement in that consensus for 2028. We have confidence in all of our businesses, and we have confidence in the UK Corporate Bank, as well as the US Consumer Bank. So, we've seen both of them move up. In terms of cost: income ratio, look, it's high 50s this year. Our expectation low 50s in 2028. We haven't given you any guidance at all for 2027, but what we are saying is that given that we are committed to progressive returns year-on-year and progressive distributions, you should expect us to be making a meaningful step between the high and the low position in 2027. And then coming to dividends, you're right over the last few years, we've typically done one-third, two-thirds. We've made a deliberate ...				

f3f29bd0739c-x003 | Business Model & Strategy			Priority flags: 1 | deflection phrase		
Analyst	Amit Goel (Mediobanca)	Management	['Anna Cross'] | ['management']	Page	6
Topic	Business mix, RWAs and returns (broad)	Attributes	concern -0.037; tone gap -0.016; alignment 0.878; hedges/100w 0.63; figures 1; deflect True; follow-up False	Source	Open source transcript
Question	A couple of areas where I was getting some questions on the results. So, I think one you've already touched on a bit, so with regards to the structural cost actions, but thinking about it in a bit more detail. I guess [I'm] trying to understand, is there any specific businesses beyond just the broader spread across the business units, that that's the incremental £300 million is targeted at, and any real examples of how that money is being spent. That should be helpful. And then secondly, just with regards to Best Egg and the profitability that it seemed to report for the last couple of months. It seems to take a bit of a step down, I know there's commentary about the spread pressure related to the funding costs versus the APRs, but it seems to ...				
Answer	Okay, so let me start with SCAs. So, I wouldn't call out any specific businesses. You're going to see it across the entirety of the firm - front office, middle office, back office impacting. It relates organisational simplification. So, I'm not going to call out specific examples now, but we will give you much more detail at Q3 and Q4, when we're actually spending that money. But think about all simplifications, think about process simplification and then the reduction in costs associated with that. In relation to Best Egg, I think the confusion here actually relates, not to Best Egg, but to American Airlines. So, when American Airlines left the platform, I think everybody has accounted for the NII associated with the balances, but remember that American Airlines was in large part a transactor book, that's why it was low margin. So you're also seeing when American Airlines leaves the ...				

f3f29bd0739c-x007 | Business Model & Strategy			Priority flags: 1 | follow-up		
Analyst	Jason Napier (UBS)	Management	['Anna Cross'] | ['management']	Page	9
Topic	Business mix, RWAs and returns (broad)	Attributes	concern -0.052; tone gap +0.049; alignment 0.859; hedges/100w 0.00; figures 1; deflect False; follow-up True	Source	Open source transcript
Question	Just to clarify that 80% of IB costs are in the stable business?				
Answer	No, what I'm saying is if you look at the revenue from those stable businesses, it's covering around 80% of the IB costs in totality. If you want greater stability, then that is the kind of metric that you need to be stretching.				

f3f29bd0739c-x001 | Liquidity & Funding			Priority flags: 1 | deflection phrase		
Analyst	Michael Christodoulou (Berenberg)	Management	['Anna Cross'] | ['management']	Page	3
Topic	Deposits and deposit pricing	Attributes	concern -0.056; tone gap +0.354; alignment 0.882; hedges/100w 0.66; figures 4; deflect True; follow-up False	Source	Open source transcript
Question	One on UK Corporate, can give us a bit more color on the loan to deposit ratio evolution in loan [growth] but also in terms of deposits? Is it growing, or is penetration slowing? Is it mainly seasonal? Just some additional color, that would be helpful. Second, in terms of costs and the SCAs. Does that include any expectation about growth in AI spend? [Can you provide any colour on how you expect to funnel that cost growth?] And lastly on the all-weather RoTE, is there a specific range you're having in mind? Maybe through the cycle level, maybe range, some expectation on that please?				
Answer	Okay, thank you Michael. So let me start with UK corporate. So our objective here is to rebalance that business and obviously it contributes significantly to our growth expectations in the UK. In fact, you'll see that our corporate loan growth is actually exceeding the overall growth, which is around 5%. So what we've seen is growth in loans, but as we attract new customers to the platform and we've seen around 1400 new clients since the beginning of the plan. So we're seeing them also bring their deposits, we're seeing both sides of the balance sheet grow. That's great, happy with that. I wouldn't call it out as seasonal. And if you look at our loan to deposit ratio, which is 35%, that would compare to between 50 and 75% in our UK peers. So we feel like we have a considerable degree of runway here. In so doing, it's really coming from focus and some capability that we've launched in ...				

59043c81adbf-x009 | Market & Balance Sheet			Priority flags: 1 | follow-up		
Analyst	Edward Firth (KBW)	Management	['Anna Cross'] | ['management']	Page	15
Topic	Net interest income and margin guidance	Attributes	concern -0.067; tone gap +0.312; alignment 0.914; hedges/100w 0.00; figures 2; deflect False; follow-up True	Source	Open source transcript
Question	The only thing I would add is that, on your Slide 10, you show £1.2 billion of additional revenue from the hedge and yet if I'm looking at your guidance, banking NII is not going to grow by £1.2 billion, it's going to be somewhat less than that. So that would sort of imply that despite all the volume growth, the underlying NII, if it wasn't for the hedge, we wouldn't be getting really any NII growth at all. And I'm just thinking about what that means as we go beyond this year and into sort of '28, '29, '30, what's happening in terms of the underlying dynamics?				
Answer	Well, I mean, this is clearly the gross hedge income. The other thing I would say is, there is momentum from the structural hedge, we know that. That is somewhat enhanced by the fact that our deposit stability is there, and therefore it's important that we grow the deposit franchise also. The thing I would also say is look back over the last few quarters, Ed, and add up what's coming in from the asset balance column in BUK, and you will see that you are getting to a building momentum of asset income. I think you'll get to like £130 million to £140 million of additional income coming through in BUK alone on that metric. Clearly that is just building quarter in, quarter out. It's somewhat being led by mortgages, so the margin's going to be a little bit lower than BUK as a whole. If you go into corporate, it's exactly the same, the NII growth in corporate is being driven by lending as ...				

59043c81adbf-x013 | Market & Balance Sheet			Priority flags: 1 | deflection phrase		
Analyst	Nicolas Payen (Kepler Cheuvreux)	Management	['Anna Cross', 'C.S. Venkatakrishnan', 'Anna Cross'] | ['management', 'management', 'management']	Page	20
Topic	Structural hedge and rate sensitivity	Attributes	concern -0.080; tone gap +0.203; alignment 0.905; hedges/100w 0.81; figures 1; deflect True; follow-up False	Source	Open source transcript
Question	Yes, good morning. I have two questions please. The first one is relating to the structural hedge. You mentioned that you expect the structural hedge income growth to continue beyond 2028. So, I don't know if at this point you can share anything regarding maybe the maturing yields beyond 2028, maybe the kind of marginal growth you expect beyond that point. That would be the first question. And then the second question would be on your partnership in the US, with Samsung. Is there anything you can say maybe regarding the marginal contribution that you expect from this partnership on a, let's say, two-to-three-year basis? Great, thank you.				
Answer	Okay, Nicolas, I feel we're going to disappoint you on both of these answers in respect of the detail that we will give. So, we haven't given any detail on maturing yield beyond 2028. Of course, we will do that in time. The only thing I would just anchor you back to is the fact that we are planning this on, we think, a very realistic basis at 3.5%. The fact that we have somewhat elongated the longevity of the swaps that we're putting into this hedge, reflecting the length and the stability of the relationships that we enjoy across the bank. It's those two things that we feel will carry the momentum beyond 2028. We're just not in a position to give you that maturing yield at this point in time, although we will do at some point. In terms of the partnership [with] Samsung, we don't actually call out the economics of any individual partnership, but I think, to Venkat's earlier point, ...				

f3f29bd0739c-x000 | Business Model & Strategy			Priority flags: 1 | deflection phrase		
Analyst	Sheel Shah (JP Morgan)	Management	['Anna Cross'] | ['management']	Page	2
Topic	Business mix, RWAs and returns (broad)	Attributes	concern -0.097; tone gap +0.275; alignment 0.903; hedges/100w 0.25; figures 6; deflect True; follow-up False	Source	Open source transcript
Question	I've just got a few questions, first on the US deposits, [with core deposits around 82% of total funding]. I know the ambition is to grow this model, where could this grow to? Will this be a 100% funded business or near enough and should we expect that to be a relatively linear process? The last quarter saw some tighter pricing as well, so with that in context, are you looking to step into that on a more gradual basis or see a step up? And then secondly, with regards to structural costs, you've mentioned a step down in cost in 2027, any indication as to [what that would be]? Thanks.				
Answer	Okay, thank you Sheel. So on US deposits, as you noted, we've clearly seen a step up in the quarter. We continue to see absolute momentum but equally, obviously we've had AA (American Airlines) leave the platform in the quarter. We haven't given a target about where we expect this to grow to. But take some significance from us talking now about a digital only consumer bank and our desire to grow this strategically across the partners we already have using our existing deposit platform. Much of the growth we've seen is from AARP. Now clearly that is predisposed to good deposit growth, but some of the products that we've launched there have been very successful. So we would seek to deploy those more widely with other existing partners. And then with Samsung, well you'll hear a bit more about that in time, but we do feel that could be an important platform for us to develop our deposit ...				

59043c81adbf-x006 | Unclassified / no substantive subject			Priority flags: 1 | follow-up		
Analyst	Benjamin Toms (RBC)	Management	['Anna Cross'] | ['management']	Page	11
Topic	Acknowledgement, no subject	Attributes	concern -0.148; tone gap +0.076; alignment 0.693; hedges/100w 15.38; figures 0; deflect False; follow-up True	Source	Open source transcript
Question	Thank you.				
Answer	Okay, thank you, Ben. Perhaps we could go to the next question, please.				

59043c81adbf-x007 | Market & Balance Sheet			Priority flags: 1 | follow-up		
Analyst	Chris Cant (Autonomous)	Management	['Anna Cross', 'C.S. Venkatakrishnan', 'Anna Cross'] | ['management', 'management', 'management']	Page	11
Topic	Net interest income and margin guidance	Attributes	concern -0.189; tone gap +0.080; alignment 0.910; hedges/100w 0.27; figures 3; deflect False; follow-up True	Source	Open source transcript
Question	Good morning. Thanks for taking the questions. I just wanted to come back on BUK and PBWM, if that's okay. On BUK and the £8.2 billion implied NII figure, I know you said middle of the £8.1 billion to £8.3 billion range, but let's just work with £8.2 billion for the sake of argument. Is that specifically assuming 3.5% swap reinvestment in the second half? Because consensus is about £50 million higher on the full year, but it seems like maybe £30 million of that is just consensus assuming a 4% and changereinvestment rate and you perhaps sticking to the 3.5% planning assumption. And also on this £8.2 billion, if I think about the quarter-over-quarter kind of sequential growth, it looks like you're implicitly saying, actually into the second half ...				
Answer	Okay, Chris, I will start and then I will hand to Venkat. So at the beginning of the year, we gave you a range of £8.1 billion to £8.3 billion on BUK [NII guidance] and we said that the reason for that range was actually around how we felt around the uncertainty on deposit dynamics in particular. All we're saying at this point in time is that with the ISA season behind us, given the pricing dynamics that I called out before, there's a narrowing range of outcomes in the second half and us focusing on that middle of the range reflects that and no more. In terms of the swap rates, we consistently apply a swap rate assumption of 3.5% to our structural hedge. We think that's the right sort of sensible basis for it. You're correct, we have seen over the first two quarters, the actual rate of reinvestment being in excess of that. That has very little impact in the current year. However, it ...				

11f9b9d1faae-x002 | Business Model & Strategy			Priority flags: 1 | figure requested/not supplied		
Analyst	Robert Smalley (MacKay Shields)	Management	['Anna Cross', 'Dan Fairclough'] | ['management', 'management']	Page	3
Topic	Business mix, RWAs and returns (broad)	Attributes	concern -0.265; tone gap -0.002; alignment 0.856; hedges/100w 0.19; figures 0; deflect False; follow-up False	Source	Open source transcript
Question	Thanks very much for doing the call. First, in terms of the IB, the performance and the balance sheet growth, we've seen your domestic competitors really grow their balance sheets and grow a number of different businesses over the past 6 to 12 months. At the same time, you've said that you're going to keep the capital commitment and IB balance sheet pretty much stable. So do you anticipate a growing gap between you and some of your global competitors here as a result of just the size of the businesses going forward? And is your relative muted issuance versus some of, say, the large U.S. banks who need to fund a growing IB balance sheet indicative of this as well? Secondly, you mentioned on the other call earlier this morning, the IPO business was ...				
Answer	On the U.S. banks, our strategy is well set out here, and it's one of discipline. And what we mean by that is not only running the business for returns but with a risk posture that's appropriate for the environment. And so that's really what you see us doing here. We're extending a bit of balance sheet, both in terms of RWA, more significantly in leverage but we're doing so as a means to an end to ensure that we're getting a commensurate increase in revenue over RWAs, which you can see in the quarter, but also that we manage the risk well. So, you'll note the VAR has not really changed, no trading loss days in the quarter. That's really important to us that we manage this business within disciplined boundaries. We feel like we are making good progress. So, we're happy with its structural progress in terms of the consistency of that revenue over RWAs and the consistency of its costs. ...				

59043c81adbf-x004 | Unclassified / no substantive subject			Priority flags: 1 | follow-up		
Analyst	Jonathan Pierce (Jefferies)	Management	['Anna Cross'] | ['management']	Page	9
Topic	Acknowledgement, no subject	Attributes	concern -0.808; tone gap -0.518; alignment 0.740; hedges/100w 0.00; figures 0; deflect False; follow-up True	Source	Open source transcript
Question	Okay thanks very much.				
Answer	Thank you, Jonathan. Next question please.				

f3f29bd0739c-x002 | Regulatory & External			Priority flags: 0 | no primary review flag		
Analyst	Ed Firth (KBW)	Management	['Anna Cross'] | ['management']	Page	4
Topic	UK business, cards and regulation (broad)	Attributes	concern +0.070; tone gap +0.180; alignment 0.896; hedges/100w 0.00; figures 6; deflect False; follow-up False	Source	Open source transcript
Question	Morning everybody, Ed Firth from KBW. Yeah, I have a couple of detailed questions and then some more scattered. In terms of the detail, I'm always struggling a little bit with this one. On slide 17, you show us a nice little walk through the [Barclays UK] NII and I guess the way I look at it, the first two are margin boxes, and the next two are volume boxes. And yet the two margin boxes would suggest the margin was up a bit and actually the margin was down. And so I'm just trying to understand how I look at this? How do I take the margin being down from that chart? So that's the first one. The other detailed point, in terms of cost, can I just be actually absolutely clear on this? So if we're forecasting 2027 costs from 2026, we should take £300 ...				
Answer	Okay, there is consistency here for three questions rather than two. Okay, so let me start with the detail and I guess you're asking about NIM (Net Interest Margin). So simplistically, the NIM has gone down because we grown mortgages by so much, it's a mix impact. I mean we had a £10 billion pound gross quarter and it's one of the reasons that we are guiding you to NII, rather than NIM, because the extent that we are growing our secured lending and NIM goes down as a result, that's a good thing. So I'll leave it there. On your second question, if I were sitting in your shoes, I would adjust for the £300 [million additional SCAs], I would adjust for the £100 to £150 [million for Material Risk Taker compensation mix changes] and I would also adjust for Motor Finance. That gives you a reasonable baseline to go forward. And then on your more substantive question, so who owns the ...				

11f9b9d1faae-x003 | Capital & Solvency			Priority flags: 0 | no primary review flag		
Analyst	Violetta Baraboi (Societe Generale)	Management	['Dan Fairclough'] | ['management']	Page	4
Topic	AT1, legacy capital and issuance	Attributes	concern +0.005; tone gap +0.198; alignment 0.890; hedges/100w 0.00; figures 0; deflect False; follow-up False	Source	Open source transcript
Question	Just one question actually around funding. 2027 has been mentioned around prefunding. And I would like to understand a little bit more of how I should be thinking about the quantum of that prefunding and within that, what part of the capital structure? So, are we talking more about senior HoldCo issuances to prefund your upcoming dollar maturities early January? Or are you thinking about a little bit of sub debt? And then also a question on the AT1. You issued, obviously, the Australian Dollar. I was trying to understand whether this is a sort of a one-off transaction? Or are you really thinking about being more present in the market going forward?				
Answer	We generally don't give specific guidance on prefunding, and we don't have a fully formed view on what prefunding we would do. So, we will really respond there to market conditions and where we see relative value. So, not too much further to add on that at this point. In terms of the AT1, and obviously, when we come to market, we will look at the broad set of opportunities available to us. Obviously, we have historically focused predominantly on Dollars and Sterling. That's where the market is deepest for us. but we will continue to look at opportunities elsewhere where they're attractive, they provide diversification, and where the pricing is right. So, we've issued in Singapore Dollar as well in the past. We'll be opportunistic in where we go in addition to Dollars and Sterling.				

f3f29bd0739c-x006 | Business Model & Strategy			Priority flags: 0 | no primary review flag		
Analyst	Jason Napier (UBS)	Management	['Anna Cross'] | ['management']	Page	8
Topic	Business mix, RWAs and returns (broad)	Attributes	concern -0.075; tone gap +0.311; alignment 0.880; hedges/100w 0.15; figures 4; deflect False; follow-up False	Source	Open source transcript
Question	First one Anna, just on the present strength in [Global Markets] in the IB. I find it really hard to put a minus number on the forecast, but you're clearly many hundreds of millions ahead of the three-year plan in [Global Markets]. So, I wonder whether you'd share a view on whether anything we've seen in the outperformance so far is structural. And then secondly, I wonder whether you'd give us a perspective on what you're hearing from shareholders on the increased cost plans. Clearly a hundred percent RoI is better than we can do in most organic businesses, but if the bank can't deliver outperformance in a bull market, what you're really doing is de-risking the same road here as we already have in our models. I just wonder whether shareholders ...				
Answer	Okay. So let me start with the [Global Markets] business. So, it would be useful if you have a quick look at page 41 [of the Q2 results presentation]. Let me take a longer lens to this Jason. We have two objectives within revenue within the Investment Bank. The first is to grow the more stable sources of income on an absolute basis. And on the chart that I'm showing you on page 41, they are Financing and the International Corporate Bank, and you can see those growing over time. And one thing to think about would be, back to that point about operating leverage and the ability to generate a return in the Investment Bank, not just in a bull market, but in a market where there may be an air-pocket in opportunities. Think about the proportion of the IB costs that those stable revenues cover, because that's important. That's gone from about 50% to about 80%, and that means that as you are ...				

59043c81adbf-x000 | Business Model & Strategy			Priority flags: 0 | no primary review flag		
Analyst	Chris Hallam (Goldman Sachs)	Management	['Anna Cross', 'C.S. Venkatakrishnan'] | ['management', 'management']	Page	1
Topic	Business mix, RWAs and returns (broad)	Attributes	concern -0.079; tone gap +0.261; alignment 0.866; hedges/100w 0.15; figures 4; deflect False; follow-up False	Source	Open source transcript
Question	Good morning everybody, two questions from me. You talked about a commensurate improvement in Group efficiency in 2027 from the £300 million of additional SCA (Structural Cost Actions) spend in H2. So, could you comment then on how you feel about the £18.2 billion of [total operating expenses] that consensus has in for next year? Does that feel too high or too low when you think about the SCA tailwinds on the one hand, versus some of the higher compensation costs on the other hand? And then second, on Equities, I get the mid-40s print that looks a bit low versus peers, but it's basically in line on a two-year stack. I just wondered if you could give any colour on regional trends, growth in the US and APAC, whether how much that would have been ...				
Answer	Okay Chris, I will start and then I will ask Venkat to make some comments. So, what we have said is that we expect to take up to a further £300 million of structural cost actions in the second half because we see compelling opportunities to get a good return on investment and drive the long-term sustainable returns of the business. In so doing, we expect a commensurate improvement in the gross efficiencies next year. Now what we haven't done is given absolute targets in costs. The way we think about costs is because returns are our north star, cost: income ratio is our north star, because to the extent that the business has a degree of momentum around it, we may incur further absolute costs. So that's what's really important to us. We believe that the cost: income ratio in 2028 will continue to be a low 50s print, and we expect 2027 to be a meaningful step towards that from the high ...				

11f9b9d1faae-x000 | Regulatory & External			Priority flags: 0 | no primary review flag		
Analyst	Lee Street (Citi)	Management	['Anna Cross', 'Dan Fairclough'] | ['management', 'management']	Page	1
Topic	UK business, cards and regulation (broad)	Attributes	concern -0.082; tone gap +0.203; alignment 0.878; hedges/100w 0.00; figures 4; deflect False; follow-up False	Source	Open source transcript
Question	I have three questions, please. Firstly, just looking at your business mix, you obviously allocate most capital to the investment bank that make high returns in the other divisions. So, my question is, would it make sense to look for further sort of inorganic growth opportunities in the high returning business models to grow those further? That would be my first question. Secondly, on the Bank of England proposals in the Financial Stability Report, what would it take for you to think about changing your management buffer and potentially bring that lower given the idea of releasable buffers? And then finally, you mentioned the international alignment of capital requirements and talking to [the Bank of England] about that. In your view for ...				
Answer	In terms of the balance of capital across the group and the relative returns, as you can see, we've been really focused on improving the IB returns, also [with] capital and cost discipline. And we're happy with the structural improvement in returns, and we're not done yet. So, we expect those to continue to edge upwards. On the sort of second part of your question, which is really around, should we pursue inorganic growth elsewhere? We feel like we are pursuing the right pace of organic growth. We've deployed £25 billion of the around £30 billion that we expect to do [between 2024-2026] in RWAs so far in the UK businesses. And we're growing [lending] at around 5% a year, and we think that's the right rate of growth for organic growth underpinned by the capabilities that we're putting down across both retail and corporate banking. When it comes to inorganic opportunities, the bar is ...				

59043c81adbf-x008 | Market & Balance Sheet			Priority flags: 0 | no primary review flag		
Analyst	Edward Firth (KBW)	Management	['Anna Cross'] | ['management']	Page	13
Topic	Net interest income and margin guidance	Attributes	concern -0.102; tone gap -0.077; alignment 0.907; hedges/100w 0.24; figures 2; deflect False; follow-up False	Source	Open source transcript
Question	Yeah, thanks very much. Good morning, everybody. I just had two questions. The first one, in terms of this additional investment in the second half, I think previously you were committed to BUK costs falling every year for the next three years, I think that's the way you articulated it. Is that still your commitment? So even with that additional investment, will costs in BUK still be down each year for the next three years? That was question number one. And then the second question was a slightly broader question. I get what you're saying about the NIM in the second half and the product margins will stabilise or even improve a little bit, but if I look at the totality of Barclays NII, it seems that volumes have taken of way faster than I think ...				
Answer	Okay Ed let me start and I will then pass to Venkat if he's got any comments. So the answer to your first question simply is yes. So, in incurring additional structural cost actions and in incurring some costs in quite frankly responding to regulation and getting to a more flexible pay mix for our MRTs (Material Risk Takers), these are not permanent elevations in the cost base. That's not what they are intended to do. They're intended to drive the returns of the firm and they are intended to create optionality and efficiency in the cost base. For BUK, we still expect sequential falls year-on-year during this plan and for the Group as a whole, I expect positive jaws in every year of the plan. So that remains completely unchanged. That's what we meant when we said it's the momentum that allows us to do this, without disturbing the commitments that we have to the outside world. And then ...				

11f9b9d1faae-x001 | Capital & Solvency			Priority flags: 0 | no primary review flag		
Analyst	Daniel David (Autonomous)	Management	['Dan Fairclough'] | ['management']	Page	2
Topic	AT1, legacy capital and issuance	Attributes	concern -0.128; tone gap +0.120; alignment 0.927; hedges/100w 0.33; figures 0; deflect False; follow-up False	Source	Open source transcript
Question	I've got three questions. The first two are kind of related. On the leverage changes, which were more targeted at the OSIIs, did you feel a bit harshly treated as a GSIB? I guess did you expect any changes to allow UK GSIBs to become more competitive in the global context. I guess when I look at what's changed, it's mainly OSIIs, as I say. And then I guess related to that, as QT progresses, are you seeing any notable impact on your balance sheet and just what you can extend to certain businesses as leverage maybe becomes a little bit more binding as Central Bank reserves dissipate? Then the final one, Dan, you just mentioned that FPC vision of a single releasable buffer. I guess what stands out in that is that Pillar 2G could become part of the ...				
Answer	The leverage proposals were obviously a little bit disappointing in terms of the aggregate impact. I don't think it was specifically around the OSII point. Obviously, the Bank of England was using the flexibility that they have within the Basel remit, and one of those was obviously on the CCyB. So really, the reason why some banks got more benefit than others was because the CCyB where the UK obviously is the largest component, was a bigger portion of their capital stack. So, I think it was more about what room for manoeuvre did they feel that they had rather than necessarily targeted at OSIIs versus GSIBs specifically. Obviously, there's more to come from the Bank of England overall on this reform package. The second question on QT is interesting. So, we haven't really noticed any particular change in the way that we manage the balance sheet. But it's obviously interesting that we ...				

59043c81adbf-x014 | Business Model & Strategy			Priority flags: 0 | no primary review flag		
Analyst	Alberto Artoni (Intesa Sanpaolo)	Management	['Anna Cross'] | ['management']	Page	22
Topic	Costs and investment spend	Attributes	concern -0.132; tone gap +0.319; alignment 0.872; hedges/100w 0.00; figures 2; deflect False; follow-up False	Source	Open source transcript
Question	Good morning. Thank you very much for taking my question. I just have one left. Just one clarification on cost, apologies for coming back on this topic. Given that your structural cost actions are going to be accelerated in the second half of the year, I just wanted to understand if that means that going forward, 2027 and 2028, you will have lower investments, lower structural costs because you just brought this to the second part of 2026? Are you just accelerating and shifting this cost in the second part of 2026, or you're just increasing the amount of investment just because the opportunity is there for doing that?				
Answer	Okay. So don't think of it as an acceleration. Think of it as more. And I mean on both sides. So just for the current year, we have increased or we expect to increase our spending on structural cost actions, but you will also note that we have increased our expectation of gross efficiency saves over the entirety of the period. So, we're now saying that it was £2 billion. Now we're saying we expect to generate more than £2 billion of gross efficiency savings during that period. So, from our perspective, you should expect us to continue to balance returns, distributions, and investments, both in terms of the top line and efficiency. So, clearly our priorities remain as they were. Regulatory capitalisation, followed by distribution, followed by investment in the business. If we see good opportunities to invest, where we feel that is the right thing for the shareholder, we will do that. ...				

f3f29bd0739c-x005 | Business Model & Strategy			Priority flags: 0 | no primary review flag		
Analyst	Guy Stebbings (BNP Paribas Exane)	Management	['Anna Cross'] | ['management']	Page	7
Topic	Business mix, RWAs and returns (broad)	Attributes	concern -0.148; tone gap +0.116; alignment 0.914; hedges/100w 0.00; figures 1; deflect False; follow-up False	Source	Open source transcript
Question	The first question is very much on that last point on the US Consumer [Bank]. I'm just trying to get to what the clean run rate was in Q2 and then how we get to that Q1 level. So, I think if you take out the American Airlines gain on sale, you account for an extra month of Best Egg and take out a bit of [American Airlines underlying income, you get to] the £900 [million] type Q2 income number, maybe fractionally below. I guess the positive takeaway from that, is if we do get back to that Q1 level within two three quarters, that's a real good pace of growth. Is that the right interpretation? How do we think about sustainability of that level of growth into 2027, into 2028? I mean I know that you talked about the securitised margins being a little ...				
Answer	Okay. So let me start with the US Consumer [Bank], appreciate it is a very noisy quarter. The only thing I'd add to what you described is there was also a day one impairment impact of £26 million. So, I'd take account of that as well. The growth from here is going to come from a number of areas. Clearly, we are going to have organic growth from cards and you can see our businesses, the partners that we've got producing really well. I'd call out General Motors, which has had a really strong start. I'd expect to continue to see that margin growth as we grow deposits and continue to move towards a more retail focused business or a more balanced business. You are going to see growth from Samsung, but it is a de novo partnership. So, starting from zero. So, whilst it's strategically important, it's going to be quite small to start with. So, I wouldn't over rely on that. The other thing I ...				

59043c81adbf-x001 | Market & Balance Sheet			Priority flags: 0 | no primary review flag		
Analyst	Alvaro Serrano (Morgan Stanley)	Management	['Anna Cross', 'C.S. Venkatakrishnan', 'Anna Cross'] | ['management', 'management', 'management']	Page	3
Topic	Net interest income and margin guidance	Attributes	concern -0.167; tone gap +0.118; alignment 0.936; hedges/100w 0.62; figures 5; deflect False; follow-up False	Source	Open source transcript
Question	Good morning, thanks for taking my questions. I had two, first of all on deposit competition in the UK. You call out product margin being slightly weaker, presumably that's the ISA season and deposit dynamics. The question is really, what's the level of confidence that it's just the ISA season, because loan growth is strong, presumably we've seen in other regions that driving persistent deposit competition, but you're obviously confident because your BUK NII guidance is pointing to 3% quarter-on-quarter growth, run-rate more or less for the next couple of quarters. So maybe some, if you can expand on your confidence, why this is transitional and NII should accelerate from here and we shouldn't worry about that deposit competition dynamics. And ...				
Answer	Okay. Thank you, Alvaro. I'll start on both of those, and then Venkat may have some comments on USCB. As we called out in our prepared remarks, we have seen a high level of deposit competition in the second quarter of the current year. You are absolutely right, that relates in large part to the ISA season. We saw an ISA season that was 7% higher than the previous year and very competitive in terms of its pricing. Now, most of our maturities were actually in the first quarter. Most of the market maturities were in the second quarter. And that allowed us to somewhat stand back and price very selectively and use our Premier proposition to really defend and maintain our market share, which is what we have done and about 85% of the growth that we've seen in the ISA balances year-on-year are driven by our Premier customers, which is exactly what we want. So, we think we've done a good job, ...				

f3f29bd0739c-x009 | Business Model & Strategy			Priority flags: 0 | no primary review flag		
Analyst	Canberk Benning (Citi)	Management	['Anna Cross'] | ['management']	Page	11
Topic	Business mix, RWAs and returns (broad)	Attributes	concern -0.179; tone gap +0.007; alignment 0.873; hedges/100w 0.13; figures 5; deflect False; follow-up False	Source	Open source transcript
Question	So just two questions, one on the IB first. So, in terms of the primary business, Advisory and ECM, fees have grown pretty strongly. I'm just wondering is that pent up deal flow from prior years or is that more on structural share gains both in the M&A and ECM franchise, and which sector or geography is driving the most momentum? And then second on capital. So looking at the reported CET1 [ratio] is 14.3%, pro forma is 14% [and] is comfortably in the 13-14% range. Given that you plan to return more than £15 billion between 2026 and 2028, just wondering is there any upside risk to this, given that there's strong earnings trajectory? And then coming back to your point earlier on competing with digital players, are you going to prioritise more ...				
Answer	Okay, so let me start with ECM and M&A. So I would say more deal flow than market share gain. We are clearly benefiting from the market, which is bigger than we anticipated, but again able to do that because we made some investments in talent. So for example, we participated in nine out of 10 of the larger IPOs in the US and there has been some, I guess, structural skew overall. That's probably not to the areas that we are strongest in. So if you take the very large technology IPOs, that's probably not where we have our greatest strength, although we are building it. Much more for us, I would call out is industrials, and is certainly a strong area for us, but our objective here is to be able to access the larger markets. So healthcare, technology, certainly the transition economy, industrials remain large sectors. Just to remind you that the balance of our business is exactly that of ...				

f3f29bd0739c-x014 | Market & Balance Sheet			Priority flags: 0 | no primary review flag		
Analyst	Ben Toms (RBC)	Management	['Anna Cross', 'Dan Fairclough', 'Anna Cross'] | ['management', 'management', 'management']	Page	16
Topic	Structural hedge and rate sensitivity	Attributes	concern -0.182; tone gap -0.091; alignment 0.878; hedges/100w 0.62; figures 1; deflect False; follow-up False	Source	Open source transcript
Question	Morning, Ben Toms from RBC, thank you for taking my questions. The first one, we talked a lot about costs and structural cost actions. If we stick all that together, your FY26 target for cost: income ratio is high 50s and FY28, it's low 50s. Post those incremental SCAs, you've talked about a meaningful improvement in the cost to income ratio. Can we interpret that as Barclays bridging more than half the gap between those two cost income ratios by FY27? And then secondly, in terms of the structural hedge, can you just update on what your expectations are for the notional growth on structural hedge, particularly the in year growth at the end of the year?				
Answer	Okay, thanks Ben. So as I said, expect high 50s this year. We've guided to low 50s for 2028, all of that including SCAs. We expect there to be a meaningful step between H226 and 2027, as you would expect if we follow our plans and continue to grow the business. The only thing I would say is that FY27 growth efficiency will also be circa £300 million higher as a result of the actions that we're taking this year. So it gives us more confidence about making our step, if you like. More operating leverage in the business, more optionality and really helps with the RoTE progression. So that's probably the way to think about, Dan? Broadly stable, the equity balance will grow a little bit. Obviously we continue to assess stability of those [balances]. So that seems to be a fitting way to bring the breakfast to an end. I'll take the opportunity once more to thank Dan for his 25 years at ...				

59043c81adbf-x011 | Market & Balance Sheet			Priority flags: 0 | no primary review flag		
Analyst	Amit Goel (Mediobanca)	Management	['Anna Cross'] | ['management']	Page	18
Topic	Net interest income and margin guidance	Attributes	concern -0.186; tone gap +0.157; alignment 0.889; hedges/100w 0.51; figures 2; deflect False; follow-up False	Source	Open source transcript
Question	Hi, thank you. I've got two questions. So one, just coming back on the additional SCAs, I was actually a bit surprised by the 100% return on investment. So, I just really wanted to understand a bit better, like if the returns on that type of investment are so high, wouldn't the Group be doing that kind of investment in any case? And, why limit it at the amounts being done? Why not more? And then secondly, in terms of USCB, just trying to understand also the split or the expectation then for the NII versus non-NII as we look forward. Because if I understood from the call, NII is in broadly the right place now. I think previously you mentioned at Q1 that you'd expect non-NII to build to about 20% of total income. And I think consensus is now ...				
Answer	Okay. Thank you, Amit. Why don't I take those questions? So on the first one, this is a plan of balance. We're trying to get a balance between progressive returns, progressive distributions and investments in the business. And, you can see that balance in the first half. You can see that RoTE is 14.8%. You can see the EPS growth. You can see the growth in the distributions that I called out before. So we're really trying to ensure that, if you like, everybody shares in the momentum of the bank. And that's really important. And it would be just as easy for us to not make those investments at all, but we don't think that is the right thing for the long-term returns and the sustainability of those returns as we look out to 2028 and beyond. So, for us, it's really a balance. As we look at these investments, we do feel like it's the right time for us to do it, in part because of the ...				

f3f29bd0739c-x013 | Market & Balance Sheet			Priority flags: 0 | no primary review flag		
Analyst	Nicolas Payen (Kepler Cheuvreux)	Management	['Anna Cross'] | ['management']	Page	16
Topic	Structural hedge and rate sensitivity	Attributes	concern -0.186; tone gap -0.142; alignment 0.872; hedges/100w 0.00; figures 0; deflect False; follow-up False	Source	Open source transcript
Question	Thank you. First one on USCB, just want to check the offset regarding the securitised loans. Just wondering if we could expect any impact on capital that you are potentially holding on that. The second one would be on the capital efficiency within the IB. Things are important, we noticed also the hedge allocation. So I was just wondering, if the increase in hedge allocation for the IB was actually helping efficiency and to what extent?				
Answer	Okay, so let me start with securitised loans. So important to understand that the capital weighting of loans is materially below that of cards. That is true in the UK, it's also true in the US and actually the divergence between UK and US Basel for loans is much less significant than it is in cards. So if you think about why that is, if I lend you money in an unsecured loan, then clearly there is a defined amount of drawdown. With a card, you have a limit and therefore I am required to hold the degree of capital against that limit, irrespective of whether you have drawn on it. So cards are actually a much more significant utiliser of capital. Now, clearly they are much higher margin, but in terms of capital, much more significant. So we would be very, very thoughtful about how we deploy additional capital into this business, but it's not like additional costs, so much, much more ...				

f3f29bd0739c-x008 | Regulatory & External			Priority flags: 0 | no primary review flag		
Analyst	James Invine (Redburn)	Management	['Anna Cross'] | ['management']	Page	10
Topic	UK business, cards and regulation (broad)	Attributes	concern -0.222; tone gap +0.005; alignment 0.861; hedges/100w 0.46; figures 1; deflect False; follow-up False	Source	Open source transcript
Question	I've got two questions. First one is on the US Consumer business, [specifically on the cards side]. You just have given us an update on how competitive that space is when [looking for partners] and then your new capabilities in the USCB, does that make you more willing [to push in terms of repricing]? And then the second question is, just in terms of UK branches, how many are we talking? Is that 50, 100? You are quite a bit smaller in terms of UK branches, compared to your large UK bank peers?				
Answer	Okay, so let me just update on cards within USCB. So the environment is competitive but it has always been doing so, I wouldn't call it out as different. When we are competing for those partnerships, we are assuming that we go to our new capital level. So we are assuming an AIRB capital loading and that's the basis on which we would assess their financial delivery and we have hurdle rates that you would expect and we would expect new partners to meet those levels and we've clearly given a target of mid teens for this business. Typically, it takes a while for a partnership to mature. If you bring on a new partnership and it has a back book, you get there quicker because obviously you've got the momentum of that back book. Whereas if you start from scratch, then really you have to work your way through the J curve. The capability that we are building does obviously enhance that ...				

59043c81adbf-x002 | Business Model & Strategy			Priority flags: 0 | no primary review flag		
Analyst	Guy Stebbings (BNP Paribas Exane)	Management	['Anna Cross', 'C.S. Venkatakrishnan', 'Anna Cross'] | ['management', 'management', 'management']	Page	5
Topic	Business mix, RWAs and returns (broad)	Attributes	concern -0.314; tone gap -0.033; alignment 0.890; hedges/100w 0.14; figures 1; deflect False; follow-up False	Source	Open source transcript
Question	Hi, morning. Thanks for the questions. The first one was back on the US Consumer [Bank]. There's obviously a lot going on in the quarter with [American Airlines] and Best Egg. I think you've previously said that the Q1 [income] figure of £983m, with maybe a little bit of a growth, was sort of a reasonable gauge into Q3 and beyond. I just want to check, I think you made an earlier comment from the call to suggest maybe that wasn't the case. So can I just sort of check that comment you made earlier in terms of when we get back to that Q1 run-rate. I seem to remember at Q1 as well, you're talking about a lot of upside to consensus, [USCB] NII, I think it's moved a bit, but maybe you're able to reflect at all on where market expectations now sit for ...				
Answer	Okay, thank you, Guy. So if you recall, and clearly you do, in Q1, I said I felt that Q1 was a good basis for subsequent quarters. I think given those two rate impacts that I've called out, it feels like it'll take us a little bit longer to build back to that base, Guy, and that's really what we're saying here, primarily in terms of those sold securitisation prices. Although, remember, as a bank, we do have some optionality here. So, we have probably greater optionality than some participants in that market, in that we can choose to hold some on the balance sheet if we feel that's the right thing to do. But, as Venkat said, our conviction about this business, strategically, is completely unchanged by a quarter's rate expectations. And we still feel that we have the organic momentum in the existing cards business, in Best Egg and in what we have announced in respect of Samsung. You ...				

59043c81adbf-x012 | Market & Balance Sheet			Priority flags: 0 | no primary review flag		
Analyst	Perlie Mong (Bank of America)	Management	['Anna Cross'] | ['management']	Page	19
Topic	Structural hedge and rate sensitivity	Attributes	concern -0.322; tone gap +0.021; alignment 0.881; hedges/100w 0.53; figures 7; deflect False; follow-up False	Source	Open source transcript
Question	Hello, good morning. So we've talked a lot about cost. So it sounds like you want a balance between distribution, growth, various different things. Well, I think at this point, it looks like in the guidance, income is now £500 million higher and incremental cost is £450 million higher. So if there is another quarter of very strong IB income, et cetera, would a lot of this incremental income be spent on SCAs? Because obviously, if you are having opportunities to invest in things that give you 100% ROI, that probably suggests that you have many other opportunities to invest and improve the long-term efficiency of the company. Is that the right way to think about it? Obviously, distributions is probably not in a bad place, and you are already on ...				
Answer	Okay, thank you, let me take those. So what we're saying on SCAs is that we normally do £300 million. We've actually undertaken about £100 million in the first half. That means that in an ordinary course of business, we'd be telling you we expect to spend about £200 million in the second half. Actually, we've added up to £300 million to that. So we're talking about undertaking around £0.5 billion worth of structural cost actions in the second half. In terms of an operational list and the level of investments that we can deploy wisely on behalf of the shareholder, we think that's the right sort of level. So clearly, as we look forward from here, Venkat and I have at least as much confidence in the RoTE of the firm as when we started the year for 2026. And you can see that in the fact that we have upgraded our income twice, first to £31 billion and then to circa £31.5 billion. So we ...				

f3f29bd0739c-x010 | Credit & Counterparty			Priority flags: 0 | no primary review flag		
Analyst	Mike Evison (Autonomous)	Management	['Anna Cross'] | ['management']	Page	12
Topic	Mortgages, lending and UK rates	Attributes	concern -0.433; tone gap -0.298; alignment 0.883; hedges/100w 0.15; figures 4; deflect False; follow-up False	Source	Open source transcript
Question	So just picking back up on UK corporate loan growth, obviously a bit more [broader than] before. Your peer banks have anticipated that they see improved and resilient corporate loan demand, obviously you are having some success. I think 70% loan growth was coming from existing clients. Could you comment a bit further on what you are seeing in the market broadly, do you see the broader market backdrop better than you expected given the acceleration in non-financial corporate loan growth that we see in the Bank of England data? And then on tax, we looked at another few months of uncertainty in the run up to the budget. At the Q1 breakfast, you indicated about £35 million pounds impact per 1% increase in the surcharge. Your last country snapshot ...				
Answer	Okay, so let me start with corporate loan growth. So I think the start point, if you look at page five [of the Q2 results presentation]. So there has been a de-leveraging from UK corporates, and one might argue that if you took the COVID spike out, that de-leveraging has been slowly, slowly happening since the GFC. And so where we start from as a country is a low loan to GDP ratio, which means that there is the capacity to take on lending within corporates. The same is true of households. And so what we are seeing is somewhat structural demand. Where does that come from? We see it very heavily in technology and there are probably a few things underpinning that. One is the kind of thing that we've discussed here today, the ability to deploy technology more flexibly, more cheaply than before. I want to say about 70% of the corporates that we've surveyed have talked about cyber. You ...				

Barclays - Decision Method and Rationale

2026 Q2 | Majority decision basis and analytical methodology

How the 2026 Q2 signal-fusion conclusion was derived

1. Decision outcome

Action Signal 2 - Supervisory Enquiry. The evidence supports a targeted supervisory clarification step. It does not support Regulatory Investigation or Supervisory Intervention because the current-quarter adverse communication indicators are moderated by strong figure coverage, generally high Q&A; alignment, low adjusted follow-up pressure and unusually low analyst concern.

2. Analytical philosophy

The model treats each exchange-level measurement as an observable proxy rather than a direct measurement of management evasiveness, discomfort or financial weakness. It triangulates sentiment, semantic alignment, quantitative-answer behaviour, hedging/deflection, follow-up pressure, topic concentration and historical deviation. Multiple weak indicators become more interesting when they coincide; no single indicator is treated as proof.

3. Current-quarter evidence used

Attribute	2026 Q2 equity	Historical context / interpretation
Exchanges	31	Current-quarter evidence volume
Figure coverage	94.7%	z +1.23: above Barclays prior-quarter norm
Figures / 100 words	0.523	z +1.15
Deflection rate	22.6%	z +1.18: elevated, therefore watch signal
Q&A alignment	0.868	z +0.83: not unusually weak
Adjusted follow-up	-0.140	z -1.63: materially below prior norm
Analyst concern	-0.135	z -1.84: materially below prior norm
Matched concern	-0.159	z -1.66: lower concern versus matched comparison
Matched gap	-0.114	z -1.19

4. Risk-domain classification

Exchange topics were mapped to the eight supervisor-facing domains according to the dominant risk transmission mechanism, not keyword matching. For example, net-interest-margin and structural-hedge questions map primarily to Market & Balance Sheet; business mix, returns and cost/investment questions map primarily to Business Model & Strategy. Acknowledgement-only records were not forced into a risk domain.

Capital & Solvency - Stable, Stable, evidence volume 2. mean alignment 0.91.

Liquidity & Funding - Stable, Stable, evidence volume 1. deflection in 100% of exchanges; mean alignment 0.88.

Credit & Counterparty - Stable, Stable, evidence volume 2. figure coverage 100% (1/1); mean alignment 0.89.

Market & Balance Sheet - Stable, Stable, evidence volume 11. follow-up in 27%; figure coverage 100% (8/8); mean alignment 0.88.

Operational & Technology - Stable, Stable, evidence volume 0. No directly classified current-quarter exchange signal in supplied attributes.

Business Model & Strategy - Watch, Emerging, evidence volume 15. deflection in 27% of exchanges; figure coverage 73% (8/11); mean alignment 0.88.

Governance, Controls & Data - Stable, Stable, evidence volume 0. No directly classified current-quarter exchange signal in supplied attributes.

Regulatory & External - Stable, Stable, evidence volume 3. figure coverage 100% (1/1); mean alignment 0.88.

5. Fusion logic and weighting

No simple average was used. The dominant-risk principle was applied: identify the strongest credible adverse pattern in each domain, seek corroboration, then moderate it with contradictory evidence and effective mitigation. For the top-level signal, materiality, direction, persistence and confidence were considered alongside breadth, corroboration and analyst attention. Historical z-scores were treated as context for abnormality rather than as standalone risk scores.

The effective weighting was qualitative and explainable: (a) persistent, high-materiality, directly evidenced patterns would dominate; (b) isolated or weak proxy flags receive less weight; (c) multiple independent indicators strengthen a signal; (d) strong counter-evidence reduces escalation; and (e) the highest action level must be justified by observed evidence rather than hypothetical severity.

6. Why Level 2 rather than Level 1

Level 1 would understate the elevated deflection pattern and the concentration of review flags in business-model/returns and balance-sheet/rate exchanges. A targeted enquiry is justified to clarify whether these communication patterns reflect ordinary boundary-setting in guidance or a substantive information gap.

7. Why not Level 3, 4 or 5

The supplied data do not establish a potentially material persistent failure requiring specialist investigation. Figure coverage is strong, alignment is generally high, analyst concern and adjusted follow-up are low versus Barclays history, and there is no

Barclays - Decision Method and Rationale

2026 Q2 | Majority decision basis and analytical methodology

8. Auditability and limitations

This report uses only the supplied instruction references and CSV outputs. It does not add news, financial statements, regulatory findings or external Barclays knowledge. The risk-domain mapping is an analytical classification of the supplied topics; it is not itself present as a source column. Exchange-level evidence remains traceable by exchange_id, transcript page and source transcript URL in the detailed report. The signal should be read as evidence prioritisation for human review, not a calibrated probability or legal conclusion.

9. Reproducible conclusion

Current-quarter evidence warrants targeted clarification, not formal investigation. Equity deflection is 22.6% (historical z +1.18), while figure coverage is 94.7% (z +1.23), Q&A alignment is 0.87, adjusted follow-up is low (z -1.63), and analyst concern is unusually low (z -1.84). The strongest credible signal is therefore an explainable communication/clarification watch, concentrated mainly in business-model/returns and balance-sheet/rate topics, with substantial counter-evidence against escalation.

D / MINORITY CHALLENGE

ALTERNATIVE | LEVEL 1 • Routine monitoring and verification

Minority position

Unverified linguistic proxy flags may not justify a formal supervisory enquiry. First complete a routine internal source audit.

Counter-evidence

Average Q&A alignment is 0.871; many responses contain numeric figures. Non-deflection exchanges in B provide counterexamples to systemic non-response, but not proof of adequate disclosure.

Reviewed but not scored

15/36 unsuccessful or missing LLM classifications cannot be scored as adverse. No original transcript, financial statement or independent prudential evidence was scored.

Alternative weighting / sensitivity

Hypothetical: excluding unverified deflection as an escalation trigger supports Level 1. Verified material inconsistencies could justify Level 3. These counterfactuals have not been empirically tested.

Competing explanations

Multi-part questions, normal analyst follow-up and imperfect topic segmentation could explain apparent anomalies. Missing evidence cannot be equated with safety.

Resolution triggers

Review all seven flagged responses in full, reconcile numerical statements, determine if questions remained unanswered and seek independent corroboration before escalating.

Illustrative counter-evidence register

FINDING / EXCHANGE	OBSERVATION	LIMIT
F03 / f3f29bd0739c-x004	No deflection flag; alignment 0.687	Does not establish completeness
F04 / 59043c81adbf-x006	No deflection flag; alignment 0.693	Does not establish completeness
F10 / 59043c81adbf-x004	No deflection flag; alignment 0.740	Does not establish completeness
F11 / 59043c81adbf-x015	No deflection flag; alignment 0.809	Does not establish completeness
F12 / f3f29bd0739c-x011	No deflection flag; alignment 0.882	Does not establish completeness
F13 / f3f29bd0739c-x007	No deflection flag; alignment 0.859	Does not establish completeness

END OF REPORT | Source boundary: attached instructions and CSV data only.